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* **IN THE HIGH COURT OF DELHI AT NEW DELHI**

% Reserved on: 30.03.2023

Pronounced on: 20.04.2023

\+ **CRL.M.C. 1655/2023 & CRL.M.A. 6012/2023**

SUKHDEV RAJ SEHGAL ..... Petitioner

Through: Mr. Aman Taneja and Ms. Radhika Sethi, Advocates.

versus

M/S PRAGATI MICRO FINANCE ..... Respondent

Through: Mr. Lalit Chauhan, Advocate.

CORAM:
HON'BLE MR. JUSTICE MANOHAR LAL DUGGAL

JUDGMENT

1. This petition under Section 482 of the Code of Criminal Procedure, 1973 seeks quashing of Complaint Case No. 5602/2022 under Section 138 of the Negotiable Instruments Act, 1881 ("the NI Act") pending before the learned Metropolitan Magistrate (NI Act), Karkardooma Courts, Delhi.

2. The respondent, a non-banking finance company, sanctioned a loan of Rs.5,00,000/- to the petitioner on 10.01.2021, repayable in thirty monthly instalments. At the time of disbursal the petitioner handed over a blank-dated cheque as security. The petitioner defaulted from the seventh instalment onwards, and the respondent recalled the loan on 14.03.2022. The cheque, filled up for the outstanding amount of Rs.3,92,500/-, was presented on 02.05.2022 and returned unpaid for "Funds Insufficient".

3. Learned counsel for the petitioner submits that the cheque was given only as security, that no debt or liability was outstanding on the date it was handed over, and that a security cheque cannot found a prosecution under Section 138 of the NI Act.

4. Learned counsel for the respondent submits that the liability crystallised upon default and recall of the loan, and that the cheque was presented for a legally enforceable debt within its validity period.

5. The question is whether a cheque issued as security for a loan attracts Section 138 of the NI Act upon dishonour.

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6. The Explanation to Section 138 requires that the cheque be issued for the discharge of a legally enforceable debt or other liability. The relevant date for testing the existence of that liability is the date of presentation of the cheque, and not the date on which the cheque was handed over.

7. A cheque issued as security for repayment of a loan attracts Section 138 of the Negotiable Instruments Act, 1881 if, on the date of presentation, the liability has crystallised and the amount covered by the cheque is legally due; describing the cheque as "security" is no defence by itself.

8. On the pleadings, the petitioner defaulted on seven instalments, the loan was recalled by notice, and the amount of the cheque corresponds to the admitted outstanding. Whether any part of the amount is disputed is a matter for evidence at trial.

9. The petition is dismissed. The learned Magistrate shall proceed expeditiously. Pending applications stand disposed of.

MANOHAR LAL DUGGAL, J

APRIL 20, 2023/ak

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